

Supplier Management and Procurement Manual

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Purpose and Scope

This manual governs how TraceStock AI selects suppliers, negotiates and awards contracts, raises and approves purchase orders, monitors supplier performance, and exits supplier relationships. It applies to all purchases of goods for resale and to indirect purchases above 5,000 EUR per year.

It complements the Supplier Replenishment and Lead Time Policy, which governs when to order and how much. This manual governs who we order from, on what terms, and what happens when a supplier fails to deliver against them.

Procurement Principles

Total cost, not unit price. The cheapest unit price is frequently not the cheapest supply. Lead time, minimum order quantity, defect rate, payment terms, and reliability all carry cost that does not appear on the invoice. A supplier five percent cheaper per unit with double the defect rate is more expensive.

No single point of failure. Any category representing more than fifteen percent of revenue must have a qualified alternative supplier, even where all volume currently flows to one. A qualified alternative means one that has passed onboarding and completed at least one trial order, not merely a name on a list.

Written terms. Every commitment above 10,000 EUR per year is documented in a signed agreement. Verbal understandings are not enforceable and are not relied on when a dispute arises.

Separation of duties. The person who selects a supplier does not approve the invoice. The person who receives goods does not approve payment for them.

Proportionate process. Controls scale with risk and value. Applying the full onboarding process to a 200 EUR one-off purchase wastes effort that should go into scrutinising the contracts that matter.

Supplier Categories

Suppliers are classified by the risk their failure would create, and the classification determines how much oversight applies.

Strategic. Sole or dominant source for a category representing more than fifteen percent of revenue, or a supplier with no qualified alternative. Reviewed quarterly. Contract required. Exit plan documented and maintained.

Core. Regular supply of catalogue goods, with alternatives available. Reviewed every six months. Contract required above 10,000 EUR per year.

Transactional. Occasional or low-value purchases. Reviewed annually in aggregate. Purchase order terms sufficient.

Restricted. A supplier under investigation, on notice, or with an unresolved compliance concern. No new orders without Head of Purchasing approval.

Classification is reviewed annually and whenever spend changes materially. A supplier that has quietly grown from transactional to strategic without reclassification is a common and avoidable source of concentration risk.

Supplier Selection

Sourcing

For purchases expected to exceed 50,000 EUR annually, at least three suppliers are approached. Where fewer than three credible suppliers exist, the reason is recorded rather than the requirement quietly ignored.

Evaluation criteria

Offers are evaluated against weighted criteria agreed before offers are received, so that criteria cannot be adjusted afterwards to favour a preferred outcome.

Criterion	Typical weight
Landed cost	30%
Reliability and lead time	25%
Product quality and defect history	20%
Commercial terms and flexibility	15%
Compliance and sustainability	10%

Weights vary by category. For weather-sensitive goods, reliability and lead time carry more weight than unit cost, because stock arriving after the season has little value.

Decision record

Every award above 50,000 EUR is recorded with the suppliers considered, the scores against criteria, the decision, and the decision maker. The record exists so the reasoning can be reviewed later, particularly where the chosen supplier subsequently underperforms.

Supplier Onboarding

No purchase order may be raised against a supplier that has not completed onboarding. Onboarding is not a formality; it is where most avoidable supply problems get caught.

Required before approval

- **Company verification.** Registered name, registration number, VAT number,

and registered address, verified against a public register.

- **Bank details verification.** Confirmed by a call to a known number obtained

independently, never to a number supplied in an email. This step exists because supplier bank detail fraud is the most common payment fraud the company faces.

- **Financial check.** Credit report for any supplier expected to exceed 50,000

EUR annually. Concerns escalate to Finance rather than blocking automatically.

- **Compliance declarations.** Signed acceptance of the Supplier Code of

Conduct, covering labour standards, safety, environmental compliance, and anti-bribery.

- **Product compliance.** For goods sold to consumers, evidence of CE marking

where applicable, and safety documentation for electrical goods.

- **Insurance.** Product liability cover appropriate to the category, evidenced

by certificate.

- **Trial order.** One order at limited volume, inspected on receipt against

the standard in the Warehouse Inventory Control SOP.

Approval authority

Expected annual spend	Approver
Under 10,000 EUR	Purchasing Manager
10,000 to 100,000 EUR	Head of Purchasing
Above 100,000 EUR	Head of Purchasing and Finance Director
Any strategic classification	Finance Director

Ongoing verification

Compliance evidence expires. Insurance certificates, product compliance documentation, and code of conduct acceptances are re-confirmed annually. Expired evidence moves a supplier to restricted status until refreshed.

Contract Terms

Terms that must be specified

Every supplier agreement records, at minimum:

- Unit pricing, and the mechanism and notice period for changes
- Minimum order quantity and any order multiples
- Committed lead time, measured from order confirmation to goods received
- Payment terms
- Warranty period and defect handling
- Return rights for defective and for over-supplied goods
- Liability position for product defects causing consumer harm
- Termination rights and notice period on both sides

- Governing law, which is German law unless the Finance Director agrees otherwise

Standard positions

Standard payment terms are 30 days from invoice. Early settlement discounts are accepted where the annualised return exceeds the company's cost of capital and where cash position allows.

Price increases require 60 days' notice. An increase applied without notice is disputed and the prior price paid pending resolution.

Committed lead time is the figure used for planning. Where actual lead time exceeds the committed figure by more than twenty percent across three consecutive orders, the committed figure is treated as inaccurate and replenishment planning is updated to the observed figure while the supplier is put on notice.

Terms that must not be accepted

- Automatic renewal beyond twelve months without a review point
- Exclusivity, unless approved by the Finance Director with a written rationale
- Liability caps below the value of twelve months of purchases, for goods sold

to consumers

- Payment in advance above 20,000 EUR without a bank guarantee
- Any clause preventing the company from qualifying an alternative supplier
- Any clause requiring the company to purchase a minimum volume without a

corresponding supply commitment

Negotiation conduct

Negotiations are conducted honestly. Misrepresenting a competing offer to extract a concession is prohibited, both because it is dishonest and because it is usually discovered, at which point the relationship is worse than before.

Purchase Orders

Raising

Every purchase requires a purchase order raised before goods are ordered. Retrospective purchase orders raised after goods arrive defeat the control and are recorded as an exception for review.

A purchase order states the supplier, product codes, quantities, agreed unit price, delivery site, and required delivery date. The delivery site matters: goods routed to the wrong site create an immediate transfer cost and a delay.

Approval thresholds

Order value	Approver
Under 5,000 EUR	Purchasing Manager
5,000 to 25,000 EUR	Head of Purchasing

Order value	Approver
25,000 to 100,000 EUR	Head of Purchasing and Finance Director
Above 100,000 EUR	Finance Director and Managing Director

Splitting an order to remain below a threshold is a control breach and is treated as such regardless of intent.

Changes and cancellation

Quantity increases above ten percent require re-approval at the level applicable to the new total. Cancellation rights depend on the contract and on how far the supplier has progressed; cancellation after production has started usually carries cost, which must be quantified before the decision.

Emergency orders

Where a stockout is imminent and the normal approval route would arrive too late, an emergency order may be placed with verbal approval from the Head of Purchasing, confirmed in writing within one business day. Emergency orders are reviewed monthly; a pattern of them indicates a planning failure upstream.

Receiving and Payment

Three-way match

An invoice is paid only when three documents agree: the purchase order, the goods received note, and the invoice. Where they disagree, the invoice is held and the discrepancy investigated.

Common discrepancies and their handling:

- **Quantity received is less than ordered.** Pay for what was received. Chase

the balance or cancel it. Never pay in full against a promise to deliver.

- **Price on invoice exceeds the purchase order.** Pay the purchase order price.

Dispute the difference. Unilateral price increases are not honoured.

- **Goods received but no purchase order.** Investigate before paying. This

usually indicates an unauthorised order.

- **Invoice received but no goods.** Do not pay. This is the most common shape

of invoice fraud.

Quality on receipt

Goods are inspected on receipt according to the Warehouse Inventory Control SOP. Defects found on receipt are reported to the supplier within five business days with photographic evidence. Defects found later are handled under warranty.

Goods failing inspection are quarantined, not returned to the supplier immediately, until the disposition is agreed. Returning goods before agreement weakens the claim.

Payment fraud controls

Any request to change supplier bank details is verified by an outbound call to a known contact on a number held in the supplier record, never a number provided in the request. The verification is recorded. This applies without exception, including where the request appears to come from a known contact and is urgent.

Urgency is the most reliable indicator of fraud in payment requests. A genuine supplier will accept a one-day delay for verification.

Disputed invoices

A disputed invoice is recorded as disputed, with the reason, and the undisputed portion is paid on time. Withholding an entire payment over a small disputed line damages the relationship disproportionately and is not permitted.

Supplier Performance Management

Measures

Suppliers are measured on four dimensions, reviewed at the frequency set by their classification.

On-time delivery. Percentage of order lines received within the committed lead time. Target above 95 percent.

Order accuracy. Percentage of lines received at the ordered quantity and specification. Target above 98 percent.

Defect rate. Percentage of units rejected at receipt or returned by customers as defective. Target below 2 percent, and below 1 percent for electronics.

Responsiveness. Time to acknowledge and resolve a query or claim. Target within 3 business days.

Review meetings

Strategic suppliers attend a quarterly review covering performance against the four measures, forthcoming demand, known constraints, and open issues. The company shares forecast information at these meetings, because a supplier planning against guesswork delivers worse outcomes than one planning against figures.

Escalation for underperformance

Stage	Trigger	Action
1. Notify	One measure below target in a review period	Written notice, supplier response requested
2. Improvement plan	Two consecutive periods below target	Documented plan with dates, monthly review
3. Volume reduction	No improvement after one plan cycle	Volume shifted to alternative supplier
4. Restricted status	Continued failure or a serious incident	No new orders without Head of Purchasing approval
5. Exit	Failure to remediate	Contractual termination, exit plan executed

A supplier is never moved to exit without a qualified alternative in place, unless the failure is a safety or compliance matter, in which case supply stops immediately and the shortage is managed as an operational problem.

Underperformance caused by something the company did, such as late forecasts or repeated order changes, is recorded as such. Penalising a supplier for a problem the company created damages the relationship and fixes nothing.

Supplier Code of Conduct

All suppliers accept the following as a condition of trading.

Labour. No forced labour, no child labour, freedom of association, working hours and wages compliant with local law, and no discrimination.

Safety. A safe working environment, appropriate protective equipment, and recorded incident reporting.

Environment. Compliance with applicable environmental law, proper handling and disposal of hazardous materials, and provision of data on packaging and materials where the company requires it for its own reporting.

Anti-bribery. No bribes, facilitation payments, or improper inducements, whether offered to company staff or to any other party.

Subcontracting. Suppliers remain responsible for their subcontractors' compliance with this code, and must disclose subcontracting of primary production on request.

Audit. The company may audit compliance with reasonable notice. Refusal to permit an audit is grounds for restricted status.

Suspected breaches are reported to Purchasing and investigated. Confirmed breaches involving labour or safety result in immediate restricted status pending remediation.

Category-Specific Considerations

Electronics: Laptops, Smartphones, Headphones. Longest lead times and highest obsolescence risk. Over-ordering is costly because model cycles are short. Requires confirmed warranty terms and authorised-distributor status to avoid grey-market stock, which carries invalid warranties and generates customer disputes the company cannot resolve.

Weather-sensitive: Air Conditioners, Space Heaters, Rain Jackets, Sunscreen. Demand concentrates into short windows, so lead time matters more than unit price. A supplier who is cheaper but slower is the wrong choice, because stock arriving after the season has value only next year. Order commitments are made before the season, which means forecast error is carried by the company; supplier flexibility on late top-up orders is worth paying for.

Sunscreen additionally carries expiry dating. Purchase orders must specify minimum remaining shelf life on receipt, which is set at eighteen months. Stock arriving with less is rejected.

Office Chairs and Coffee Machines. Bulky, so freight cost is a significant share of landed cost. Direct delivery to the consuming site is preferred over delivery to a hub followed by transfer.

Running Shoes. Size curve accuracy matters more than total quantity. An order fulfilled at the right total in the wrong size distribution produces stock that will not sell alongside stockouts in the sizes customers want.

Risk Management

Concentration risk

Reviewed quarterly. Where one supplier exceeds thirty percent of category spend, the review records whether an alternative is qualified and how quickly volume could shift. Where no alternative exists, qualifying one becomes a Purchasing objective with a date.

Continuity

Strategic suppliers must have a documented exit plan covering where volume would move, expected lead time to switch, and expected cost. A plan that has never been tested against the alternative supplier is treated as untested and flagged.

Currency

Purchases are made in euros wherever possible. Where a supplier prices in another currency, exposure above 100,000 EUR annually is reported to Finance, which decides whether to hedge.

Single-site dependency

Where a supplier ships from a single facility, that concentration is recorded. It is not disqualifying, but it informs how much safety stock the company holds for that supplier's products.

Insolvency signals

Sudden requests to shorten payment terms, unexplained delivery delays, staff turnover among key contacts, and requests for advance payment are treated as possible insolvency signals. Where several appear together, Purchasing informs Finance and reviews exposure before placing further orders.

Sustainability and Packaging

Suppliers provide data on packaging materials and weights where the company requires it for regulatory reporting. Excess packaging is raised as a cost and waste issue, since the company pays for its disposal.

Preference is given, where cost and reliability are comparable, to suppliers who can evidence lower-carbon transport, recycled packaging content, and take-back arrangements for end-of-life electronics.

Records and Retention

The following are retained for the periods stated:

Record	Retention
Signed supplier agreements	10 years after expiry
Purchase orders and goods received notes	10 years
Supplier onboarding and compliance files	Duration of relationship plus 6 years
Performance review records	6 years
Bank detail change verifications	10 years
Tender and award decision records	6 years

Supplier contact details, including names of individuals, are personal data and are handled under the Data Protection and AI Governance Policy.

Document Control

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